Cambridge
O Level

Cambridge International Examinations
Cambridge Ordinary Level

ECONOMICS **2281/11**

Paper 1 Multiple Choice **May/June 2017**

45 minutes

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

6101459133

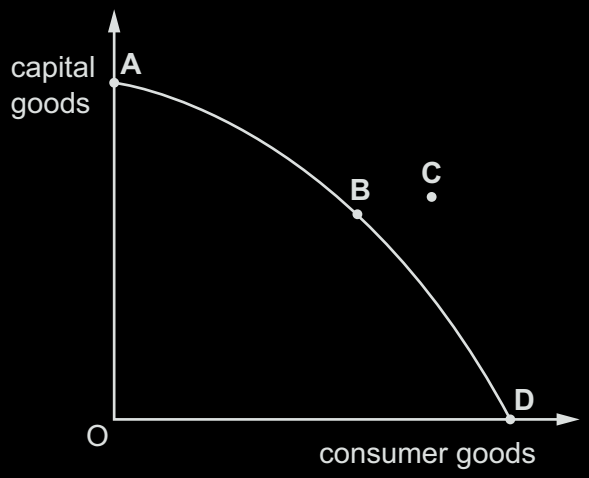
READ THESE INSTRUCTIONS FIRST

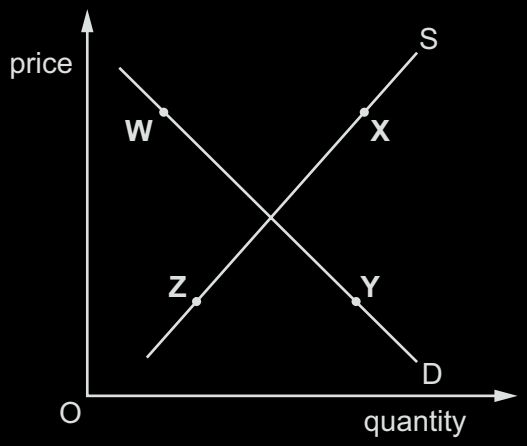
Write in soft pencil.
Do not use staples, paper clips, glue or correction fluid.
Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.
DO **NOT** WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A**, **B**, **C** and **D**.
Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
Any rough working should be done in this booklet.


capital
goods
A
B
C
D
O
consumer goods



Which statement about the points marked on the diagram is correct?

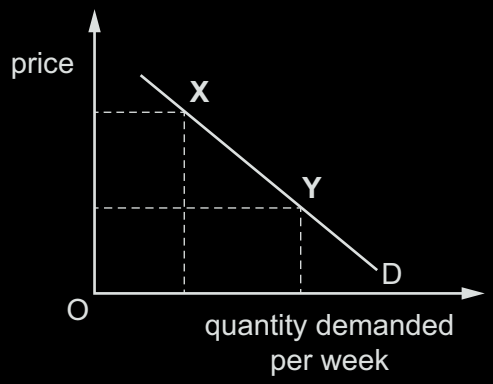
A The distance from **W** to **X** shows a shortage of the product.

B The distance from **Z** to **Y** shows a surplus of the product.

C The movement from **W** to **Y** shows a fall in the quantity demanded of the product.

D The movement from **X** to **Z** shows a fall in the quantity supplied of the product.

5 The diagram shows the demand for chocolate.



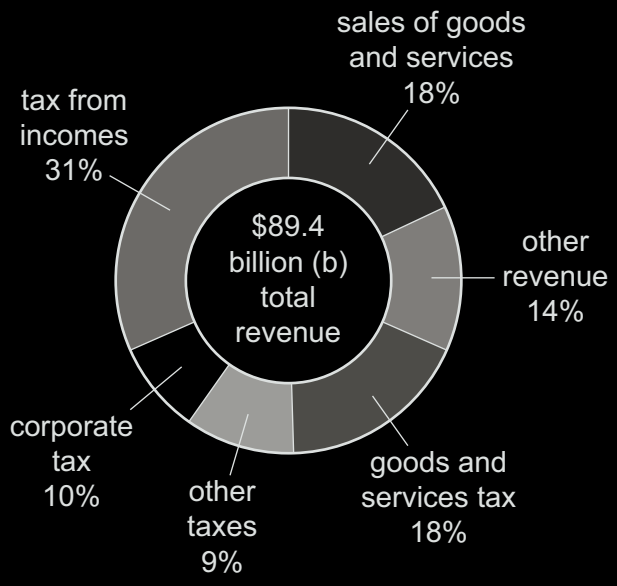
What could cause the movement from point **X** to point **Y**?

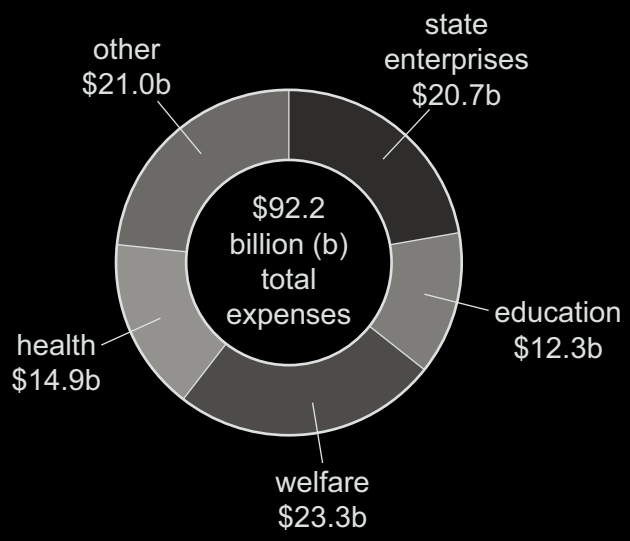
A a change in tastes

B a fall in the price of chocolate

C an increase in income

D a successful advertising campaign for chocolate





What can be concluded?

A Expenditure on welfare was higher than the combined expenditure on education and health.

B The government was $2.8 billion in surplus.

C The largest source of the government's income was from direct taxation.

D The number of business corporations was very small.

20 A newspaper reported that a country's economy had grown by 3% during the last year.

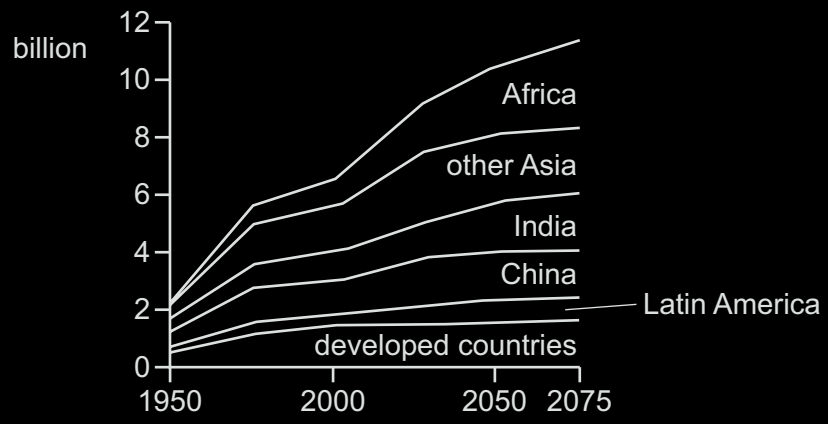
What must have increased in that year?

A costs of production

B gross domestic product

C unemployment

D wage levels



Assuming no migration, which situation must exist if the population is to change in the manner shown in the diagram?

A birth rate falling and death rate falling

B birth rate greater than death rate

C death rate greater than birth rate

D death rate rising and birth rate falling

26 The table gives information about four countries.

Which country is likely to have the highest standard of living?

	life expectancy	GDP per head ($)	% of labour force in service industries
A	51	250	48
B	51	400	52
C	61	450	52
D	61	400	40

27 Which government policy is most likely to increase the volume of exports?

A devaluation

B embargoes

C quotas

D tariffs